

Ajinomoto (2802)

Remaining Overweight: Rapid growth continues, driven by ABF, CDMO; possible to absorb Middle East impact by raising prices

Overweight

2802.T, 2802 JP

Price (17 Aug 26): ¥5,721

▲ Price Target (Dec-27): ¥6,800

Prior (Dec-26): ¥6,500

We set our new price target of ¥6,800 by December 2027 (previously ¥6,500 by December 2026) and maintain our Overweight rating. At the seasonings & foods segment, we expect costs to rise owing to the impact of the situation in the Middle East, but given the strength of the Ajinomoto brand, we think it will be possible to absorb this through price revisions. Stable growth in the foods field, along with a unique portfolio of businesses—including Ajinomoto Build-up Film (ABF) and CDMO—are driving growth, and we expect business profit to continue growing rapidly, at a 19% annualized pace, in FY2026-30. In addition to rapid profit growth, we expect aggressive shareholder returns and project that ROE will reach close to 19% in FY2026, 30% in FY2028, and 40% in FY3030.

- Raising our profit forecasts:** Given the strength of 1Q earnings, we raise our profit forecasts for FY2026 and beyond. Our new business profit forecasts are as follows: FY2026 ¥220.0 billion (+21% YoY, our previous forecast: ¥212.0 billion, guidance: ¥202.0 billion), FY2027 ¥265.0 billion (+20%, our previous forecast: ¥252.6 billion), and FY2028 ¥315.0 billion (+19%, ¥294.7 billion). As before, we apply a fair-value P/E of 37x to our FY2027 EPS estimate to set our price target.
- ABF/CDMO:** ABF sales rose 60% YoY in 1Q, driven by high-performance substrates. In addition to increased volume, unit prices and the product mix appear to have improved. We expect ABF sales to rise 40% YoY in FY2026, 30% in FY2027, and 25% in FY2028. CDMO earnings fluctuate on a quarter-by-quarter basis, but we think revenue growth and improvements in profitability are highly likely to continue, given the growth of the nucleic acid medicine and gene therapy markets as well as Ajinomoto's technological advantages. The healthcare & others segment (centering on ABF and CDMO) is an asset-light business, and we think this will enable strong free cash flow generation.
- Seasonings & foods:** In seasonings in particular, Ajinomoto has a high market share and strong pricing power. Although the company projects that the situation in the Middle East will cause costs to rise by up to ¥25 billion in FY2026, current crude oil prices suggest that the actual increase could remain below ¥20 billion. Seasonings & foods sales (excluding commercial-use products) totaled around ¥750 billion in FY2025 (with overseas sales accounting for more than ¥500 billion of this), and we calculate that a low single-digit percentage price increase would be sufficient to offset the cost increase. We therefore think it is possible to fully absorb the rise in costs by raising prices starting in 2Q.

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Key Changes (FYE Mar)

	Prev	Cur	Δ
Adj. EPS - 27E (¥)	140.39	146.20	4.1%
Adj. EPS - 28E (¥)	175.66	184.89	5.3%

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	98	92	98	87	71
Growth	39	39	26	7	32
Momentum	10	73	12	7	3
Quality	19	57	57	26	62
Low Vol	96	71	62	60	26
ESGQ	93	19	27	2	27

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 9 for analyst certification and important disclosures, including non-US analyst disclosures.

Price Performance



	YTD	1m	3m	12m
Abs	72.5%	10.2%	8.6%	43.1%
Rel	49.8%	3.4%	0.3%	9.0%

Company Data

Shares O/S (mn)	994
52-week range (¥)	6,340-3,270
Market cap (\$ bn)	35.7
Exchange rate	159.32
Free float (%)	97.3%
3M ADV (mn)	4.81
3M ADV (\$ mn)	162.7
Volatility (90 Day)	49
Index	TOPIX
BBG ANR (Buy Hold Sell)	12 4 0

Key Metrics (FYE Mar)

¥ in billions	2026/3A	2027/3E	2028/3E	2029/3E
Financial Estimates				
Revenue	1,584	1,740	1,853	1,966
EBIT	199	205	250	300
Net income	135	138	170	206
Reported EPS	138.36	146.20	184.89	229.66
BBG EPS	132.46	141.09	170.68	-
Cashflow from operations	239	239	285	308
FCFF	168	109	165	188
Margins and Growth				
Revenue Growth Y/Y (%)	3.5%	9.9%	6.5%	6.1%
Same Store Sales Growth (%)	-	-	-	-
Gross margin	37.7%	38.1%	39.3%	40.6%
EBIT margin	12.6%	11.8%	13.5%	15.3%
Net margin	8.5%	7.9%	9.2%	10.5%
Fully Diluted EPS growth	98.3%	5.7%	26.5%	24.2%
Ratios				
ROIC	9.9%	11.6%	13.8%	16.3%
ROE	17.7%	18.5%	24.0%	29.7%
Valuation				
FCFF yield	3.0%	2.0%	3.1%	3.7%
Dividend yield	0.8%	1.0%	1.3%	1.6%
EV/Revenue	3.7	3.4	3.2	3.0
P/E	41.3	39.1	30.9	24.9

Summary Investment Thesis and Valuation

Investment Thesis

Our investment thesis for Ajinomoto is based on its growth potential and capital efficiency, which are among the best among large-cap food stocks. We expect the two core business segments (seasonings & foods and healthcare & others) to drive 19% annualized business profit growth from FY2026 to FY2030, and substantial shareholder payouts should boost ROE to 40% in FY2030.

Valuation

We set our December 2027 price target of ¥6,800 by applying a P/E of 37x to our FY2027 EPS estimate. Ajinomoto's P/E has been in the 25-40x range over the past year, and we think basing our price target on a P/E near the high end of this range is fair, given the rising likelihood of growth at the healthcare & others segment, which includes ABF and CDMO.

Performance Drivers

Market	27%
Sector	13%
Macro	4%
Style	12%
Idiosyn.	44%

Factors	6M Corr	1Y Corr
Market: MSCI Japan	0.64	0.52
Sect: Cons Staples	0.59	0.42
Ind: Food Bev & Tobacco	0.76	0.57
Macro:		
Japan CPI Nationwide YoY	-0.24	-0.26
Japan OECD Leading Indicators	0.15	0.19
Japan Unemployment Rate SA	0.26	0.18
Quant Styles:		
Quality	-0.26	-0.31
Momentum	0.26	0.19
Value	0.11	0.04

Figure 1: Consolidated PL and financial KPIs

JPYbn, %	20/3	21/3	22/3	23/3	24/3	25/3	26/3	JPMe					Co's E		JPMe		
								27/3E	28/3E	29/3E	30/3E	31/3E	27/3E	Old	27/3E Old	28/3E Old	29/3E Old
Sales	1,100.0	1,071.5	1,149.4	1,359.1	1,439.2	1,530.6	1,583.7	1,740.1	1,852.5	1,965.6	2,085.8	2,218.6	1,732.0	1,723.0	1,744.5	1,856.4	1,959.3
% YoY	-1.3%	-2.6%	7.3%	18.2%	5.9%	6.3%	3.5%	9.9%	6.5%	6.1%	6.1%	6.4%	9.4%	8.8%	10.2%	6.4%	5.5%
COGS	-696.2	-665.2	-723.5	-888.7	-927.8	-979.8	-986.6	-1,076.8	-1,124.2	-1,167.3	-1,213.6	-1,264.0			-1,097.5	-1,150.8	-1,193.6
Gross profit	403.9	406.2	425.9	470.4	511.1	550.8	597.1	663.3	728.3	798.3	872.2	954.6			647.0	705.6	765.7
Equity method income/loss	-2.4	1.3	1.0	4.3	4.7	6.3	8.1	7.1	7.1	7.1	7.1	7.1			7.1	7.1	7.1
SG&A	-302.2	-294.4	-306.0	-339.4	-368.5	-397.8	-424.1	-450.4	-470.4	-490.4	-510.4	-530.4			-442.1	-460.1	-478.1
Business Profit	99.2	113.1	120.9	135.3	147.7	159.3	181.2	220.0	265.0	315.0	368.9	431.3	202.0	197.0	212.0	252.6	294.7
% YoY	6.4%	14.0%	6.9%	11.9%	9.1%	7.9%	13.7%	21.4%	20.5%	18.9%	17.1%	16.9%	11.5%	8.7%	17.0%	19.2%	16.7%
Margin	9.0%	10.6%	10.5%	10.0%	10.3%	10.4%	11.4%	12.6%	14.3%	16.0%	17.7%	19.4%	11.7%	11.4%	12.2%	13.6%	15.0%
Other operating profit	7.6	24.4	26.8	41.0	20.5	4.9	48.6	5.0	5.0	5.0	5.0	5.0			5.0	5.0	5.0
Other operating expense	-58.0	-36.5	-23.1	-27.4	-21.5	-50.3	-30.3	-20.0	-20.0	-20.0	-20.0	-20.0			-20.0	-20.0	-20.0
Operating Profit	48.8	101.1	124.6	148.9	146.7	114.0	199.4	205.0	250.0	300.0	353.9	416.3	184.2	179.2	197.0	237.6	279.7
Financial income	8.0	3.9	6.9	6.1	7.8	8.8	9.0	7.8	7.8	7.8	7.8	7.8			7.8	7.8	7.8
Financial loss	-8.0	-6.7	-9.0	-15.0	-12.4	-14.4	-12.3	-13.1	-14.3	-15.3	-15.8	-15.8			-13.1	-14.0	-15.3
Profit before Tax	48.8	98.3	122.5	140.0	142.0	108.3	196.1	199.7	243.5	292.5	345.9	408.3	180.2	175.2	191.7	231.4	272.2
Income Tax	-20.4	-32.0	-42.2	-39.9	-40.0	-27.6	-51.1	-50.9	-62.1	-74.6	-88.2	-104.1	-46.7	-45.2	-48.9	-59.0	-69.4
Tax rate %	42%	33%	34%	28%	28%	25%	26%	25%	26%	26%	25%	25%	26%	26%	26%	25%	25%
Minority Interest	10.1	6.9	4.5	6.1	14.9	10.5	10.4	10.5	11.0	11.5	12.0	12.5	10.0	10.0	10.0	10.5	11.0
Net Profit	18.8	59.4	75.7	94.1	87.1	70.3	134.7	138.3	170.4	206.4	245.7	291.7	123.5	120.0	132.8	161.9	191.8
% YoY	-36.6%	215.4%	27.4%	24.2%	-7.4%	-19.3%	91.6%	2.7%	23.2%	21.1%	19.0%	18.7%	-8.3%	-10.9%	-1.4%	21.9%	18.5%

JPYbn, %	20/3	21/3	22/3	23/3	24/3	25/3	26/3	JPMe					Co's E		JPMe		
								27/3E	28/3E	29/3E	30/3E	31/3E	27/3E	Old	27/3E Old	28/3E Old	29/3E Old
EPS (JPY)	17.2	54.2	69.7	88.0	83.7	69.8	138.4	146.2	184.9	229.7	280.1	340.5	129.8	126.2	140.4	175.7	213.4
BPS (JPY)	491.6	565.4	640.3	726.1	794.7	751.0	804.2	774.9	765.4	779.6	823.6	903.4			771.0	755.2	758.7
DPS (JPY)	16	21	26	34	37	40	48	59	73	90	107	129	50	50	57	70	84
1H	8	8	12	16	19	20	24	25	30	37	44	51	25	25	27	32	39
2H	8	13	14	19	19	20	24	34	43	53	63	78	25	25	30	38	45
Share buybacks (JPYbn)	0.0	0.0	40.0	30.0	91.3	90.7	130.0	130.0	130.0	130.0	130.0	130.0			130.0	130.0	130.0
Dividend payout	93%	39%	37%	39%	44%	57%	35%	40%	39%	39%	38%	38%	39%	40%	41%	40%	39%
Total payout	93%	39%	90%	71%	149%	186%	131%	134%	116%	102%	91%	82%			138%	120%	107%
Shares out (FY-avg, mn)	1,096.3	1,096.7	1,086.3	1,069.1	1,040.7	1,007.2	973.4	945.9	921.7	898.7	877.1	856.7			945.9	921.7	898.7
Shares out (FY-end, mn)	1,096.4	1,097.0	1,072.9	1,058.6	1,025.1	994.4	958.4	933.4	909.9	887.6	866.6	846.8			933.4	909.9	887.6
ROE (%)	3.3%	10.3%	11.6%	12.9%	11.0%	9.0%	17.7%	18.5%	24.0%	29.7%	35.0%	39.5%			17.8%	23.0%	28.2%
ROA (%) (Business Profit basis)	7.2%	8.1%	8.4%	9.1%	9.0%	9.1%	10.3%	12.0%	14.2%	16.6%	19.1%	22.0%			11.6%	13.6%	15.6%
ROIC (%) (Business Profit basis)	7.0%	7.9%	8.2%	8.7%	8.5%	8.8%	9.9%	11.6%	13.8%	16.3%	18.9%	22.0%			11.2%	13.2%	15.3%
ROIC (%)	3.4%	7.1%	8.4%	9.5%	8.4%	6.3%	10.9%	10.8%	13.0%	15.5%	18.2%	21.2%					
Equity ratio (%)	39.8%	43.3%	47.1%	50.8%	45.9%	43.4%	42.5%	39.1%	37.2%	36.2%	36.7%	38.7%			38.9%	36.6%	35.3%
Interest-bearing debt (JPYbn)	356.9	350.4	313.9	288.6	442.5	455.4	421.3	471.6	495.3	509.1	492.1	440.9			475.9	505.5	528.0
Net interest-bearing debt (JPYbn)	215.2	168.8	162.5	155.8	271.0	290.6	314.6	381.6	405.3	419.1	402.1	350.9			385.9	415.5	438.0
D/E ratio (x)	0.7	0.6	0.5	0.4	0.5	0.6	0.5	0.7	0.7	0.7	0.7	0.6			0.7	0.7	0.8
Net D/E ratio (x)	0.4	0.3	0.2	0.2	0.3	0.4	0.4	0.5	0.6	0.6	0.6	0.5			0.5	0.6	0.7
Net debt/EBITDA (x)	1.3	1.0	0.9	0.8	1.2	1.6	1.5	1.5	1.3	1.2	1.0	0.8			1.5	1.4	1.3
EBITDA (JPYbn)	161.2	176.2	187.1	207.2	226.0	245.8	270.1	314.2	361.7	414.2	470.6	536.0			306.2	349.3	393.9
EBITDA margin (%)	14.7%	16.4%	16.3%	15.2%	15.7%	16.1%	17.1%	18.1%	19.5%	21.1%	22.6%	24.2%			17.6%	18.8%	20.1%
CAPEX (JPYbn)	73.7	76.9	73.8	68.4	65.8	88.1	103.2	129.5	120.0	120.0	120.0	120.0	129.5	129.5	129.5	120.0	120.0
Depreciation/Amortization (JPYbn)	62.0	63.0	66.2	71.8	78.3	86.5	88.9	94.2	96.7	99.2	101.7	104.7	94.2	94.2	94.2	96.7	99.2
Free cash flow (JPYbn)	48.2	99.4	84.0	86.8	35.6	132.5	167.5	109.4	165.2	188.1	232.1	278.9			107.0	157.5	176.8

Source: Company reports, J.P. Morgan estimates

Figure 2: Consolidated balance sheet and cash flow statement

JPYbn	JPMe											JPMe			
	20/3	21/3	22/3	23/3	24/3	25/3	26/3	27/3E	28/3E	29/3E	30/3E	31/3E	27/3E Old	28/3E Old	29/3E Old
Total Current Assets	538.9	585.2	581.4	615.5	709.6	701.3	704.2	703.3	700.4	712.9	724.9	737.8	704.6	701.5	711.1
Cash & Equivalents	141.7	181.6	151.5	132.8	171.5	164.8	106.7	90.0	90.0	90.0	90.0	90.0	90.0	90.0	90.0
Receivable	184.7	162.1	162.4	163.7	185.6	174.1	194.2	196.0	190.1	191.9	193.2	194.4	196.5	190.5	191.3
Inventories	178.6	188.7	219.4	269.8	287.1	287.0	318.6	332.7	335.7	346.3	357.1	368.7	333.5	336.4	345.2
Others	33.8	52.8	48.2	49.2	65.4	75.4	84.6	84.6	84.6	84.6	84.6	84.6	84.6	84.6	84.6
Non Current Assets	814.7	846.1	875.6	896.2	1,064.9	1,019.8	1,108.2	1,147.0	1,173.9	1,198.2	1,220.1	1,238.9	1,147.0	1,173.9	1,198.3
PPE	454.4	486.4	522.3	536.6	587.4	581.3	647.4	682.7	706.0	726.8	745.1	760.4	682.7	706.0	726.8
Intangible Assets	69.2	72.2	68.3	65.9	97.8	92.2	92.2	92.2	92.2	92.2	92.2	92.2	92.2	92.2	92.2
Goodwill	90.0	96.0	99.8	92.1	146.0	117.9	124.1	124.1	124.1	124.1	124.1	124.1	124.1	124.1	124.1
Affiliates	116.3	112.2	115.2	119.8	128.5	129.6	138.6	142.1	145.7	149.2	152.8	156.3	142.1	145.7	149.3
Others	84.9	79.2	69.9	81.8	105.1	98.7	105.9	105.9	105.9	105.9	105.9	105.9	105.9	105.9	105.9
Total Assets	1,353.6	1,431.3	1,457.1	1,511.7	1,774.5	1,721.1	1,812.3	1,850.3	1,874.3	1,911.1	1,945.0	1,976.7	1,851.7	1,875.4	1,909.4
Current Liabilities	335.6	336.3	324.6	339.6	501.5	384.6	449.1	478.7	500.2	522.0	545.0	570.5	479.5	501.0	520.7
Payable	178.6	188.5	199.9	198.0	232.0	240.6	304.0	334.0	355.5	377.3	400.3	425.8	334.8	356.3	376.0
Borrowings	83.2	58.9	42.6	49.3	188.3	39.1	40.4	40.0	40.0	40.0	40.0	40.0	40.0	40.0	40.0
Others	73.8	89.0	82.1	92.3	81.2	104.8	104.7	104.7	104.7	104.7	104.7	104.7	104.7	104.7	104.7
Non Current Liabilities	426.0	427.1	392.7	349.1	389.0	523.3	519.0	569.6	593.4	607.2	590.2	539.0	574.0	603.6	626.0
Borrowings	273.7	291.5	271.3	239.2	254.2	416.2	380.9	431.6	455.3	469.1	452.1	400.9	435.9	465.5	488.0
Others	152.3	135.6	121.4	109.9	134.7	107.1	138.1	138.1	138.1	138.1	138.1	138.1	138.1	138.1	138.1
Net worth	592.1	667.8	739.7	823.0	884.1	813.3	844.3	802.0	780.6	781.9	809.7	867.2	798.2	770.8	762.6
Net worth for parent	539.0	620.3	686.9	768.7	814.7	746.8	770.8	723.3	696.4	691.9	713.8	765.0	719.7	687.1	673.4
Minority interest	53.1	47.6	52.8	54.3	69.4	66.5	73.5	78.7	84.2	90.0	96.0	102.2	78.5	83.7	89.2

JPYbn	JPMe											JPMe			
	20/3	21/3	22/3	23/3	24/3	25/3	26/3	27/3E	28/3E	29/3E	30/3E	31/3E	27/3E Old	28/3E Old	29/3E Old
Operating Cash Flow	114.9	165.7	145.6	117.6	168.1	209.9	239.4	238.9	285.2	308.1	352.1	398.9	236.5	277.5	296.8
Pretax profits	48.8	98.3	122.5	140.0	142.0	108.3	196.1	199.7	243.5	292.5	345.9	408.3	191.7	231.4	272.2
Depreciation/Amortization	62.0	63.0	66.2	71.8	78.3	86.5	88.9	94.2	96.7	99.2	101.7	104.7	94.2	96.7	99.2
Change in Working Capital	11.2	22.5	-19.5	-53.7	-5.2	20.2	11.6	14.2	24.5	9.3	11.0	12.6	13.7	24.6	10.1
Tax payment	-21.2	-26.2	-31.7	-39.1	-54.5	-20.1	-39.3	-50.9	-62.1	-74.6	-88.2	-104.1	-48.9	-59.0	-69.4
Others	14.0	8.0	8.1	-1.4	7.4	15.0	-17.9	-18.2	-17.3	-18.3	-18.3	-22.6	-14.2	-16.2	-15.4
Investment Cash Flow	-66.7	-66.2	-61.6	-30.8	-132.4	-77.4	-84.2	-129.5	-120.0	-120.0	-120.0	-120.0	-129.5	-120.0	-120.0
CAPEX	-73.7	-76.9	-73.8	-68.4	-65.8	-88.1	-103.2	-129.5	-120.0	-120.0	-120.0	-120.0	-129.5	-120.0	-120.0
Acquisition	-3.8	-5.6	0.0	0.0	-74.4	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Others	10.9	16.2	12.3	37.6	7.7	10.7	19.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Free Cash Flow	48.2	99.4	84.0	86.8	35.6	132.5	167.5	109.4	165.2	188.1	232.1	278.9	107.0	157.5	176.8
Financial Cash Flow	-52.3	-60.4	-123.1	-111.1	-6.8	-137.7	-225.6	-126.1	-165.2	-188.1	-232.1	-278.9	-123.6	-157.5	-176.8
Change in interest-bearing debt	26.2	-6.5	-36.5	-25.3	153.9	12.9	-34.0	50.2	23.8	13.8	-17.0	-51.2	54.6	29.6	22.4
Dividend	-17.6	-17.5	-27.3	-31.6	-38.4	-39.1	-43.2	-46.4	-59.0	-71.9	-85.1	-97.7	-48.2	-57.1	-69.2
Share buy back	0.0	0.0	-40.0	-30.0	-91.3	-90.7	-130.0	-130.0	-130.0	-130.0	-130.0	-130.0	-130.0	-130.0	-130.0
Others	-60.9	-36.4	-19.2	-24.1	-30.9	-20.7	-18.4	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Change in cash	-12.0	42.9	-30.2	-18.7	38.8	-6.8	-58.1	-16.7	0.0	0.0	0.0	0.0	-16.7	0.0	0.0
Cash at beginning of period	153.7	141.7	181.6	151.5	132.8	171.5	164.8	106.7	90.0	90.0	90.0	90.0	106.7	90.0	90.0
Cash at end of period	141.7	181.6	151.5	132.8	171.5	164.8	106.7	90.0	90.0	90.0	90.0	90.0	90.0	90.0	90.0

Source: Company reports, J.P. Morgan estimates

Figure 3: Earnings by segment

JPYbn, %								JPMe					Co's E		JPMe		
	20/3	21/3	22/3	23/3	24/3	25/3	26/3	27/3E	28/3E	29/3E	30/3E	31/3E	27/3E	Old	27/3E	28/3E	29/3E
Sales	1,100.0	1,071.5	1,149.4	1,359.1	1,439.2	1,530.6	1,583.7	1,740.1	1,852.5	1,965.6	2,085.8	2,218.6	1,732.0	1,723.0	1,744.5	1,856.4	1,959.3
%YoY	-1%	-3%	7%	18%	6%	6%	3%	10%	6%	6%	6%	6%	9%	9%	10%	6%	6%
%YoY @neutral FX	0%	-1%	5%	9%	2%	4%	2%	7%	7%	6%	6%	6%	8%	8%	8%	6%	6%
Seasonings and Foods	641.8	620.5	664.2	775.0	847.0	896.0	936.9	1,012.4	1,053.4	1,088.7	1,125.4	1,163.8	998.6	998.6	1,027.2	1,073.3	1,108.5
Japan	281.6	272.4	270.5	274.0	287.1	291.8	311.5	331.4	346.9	352.5	358.1	363.7			337.2	353.0	358.0
Seasonings, quick nourishment	190.4	189.1	188.5	184.7	193.5	202.0	224.1	241.9	256.8	261.8	266.8	271.8			246.6	261.9	266.9
Seasonings/processed foods	105.1	106.9	106.7	105.5	109.5	117.2	122.6	127.3	133.1	135.6	138.1	140.6			129.4	135.3	137.8
Coffee products	85.3	82.2	81.8	79.2	84.0	84.8	101.5	114.6	123.8	126.3	128.8	131.3			117.2	126.6	129.1
Solution & Ingredients	91.4	83.3	82.1	89.3	93.7	89.9	87.0	89.5	90.1	90.7	91.3	91.9			90.6	91.1	91.1
Overseas	359.9	347.9	393.5	500.8	559.6	604.0	625.2	680.9	706.5	736.1	767.3	800.0			690.0	720.3	750.5
Seasonings, quick nourishment	296.2	286.1	319.7	404.5	460.3	495.8	524.6	567.5	593.5	623.1	654.3	687.0			576.2	605.0	635.3
Umami seasonings for processed-food manufacturers	52.6	51.1	59.1	76.1	77.6	80.4	72.1	80.4	80.0	80.0	80.0	80.0			84.8	86.3	86.3
Other	11.1	10.7	14.7	20.2	21.7	27.8	28.5	33.0	33.0	33.0	33.0	33.0			29.0	29.0	29.0
Frozen foods	211.2	198.3	221.7	267.2	281.9	289.4	290.3	307.0	316.1	325.4	335.0	344.7	310.6	310.6	309.5	319.2	328.7
Japan	97.5	91.7	89.3	89.7	87.0	86.7	87.4	89.1	91.3	92.7	94.1	95.5	93.1	93.1	88.7	90.9	92.3
Overseas	113.7	106.6	132.4	177.5	194.9	202.7	202.9	217.9	224.8	232.8	240.9	249.3	217.3	217.3	220.8	228.3	236.4
Asia	3.4	2.6	3.1	4.7	4.6	6.1	9.2	11.5	13.0	14.5	16.0	17.5	9.9	9.9	11.6	13.1	14.6
The Americas	100.0	93.4	115.9	155.1	170.9	177.2	172.2	184.5	189.6	195.2	201.1	207.1	184.4	184.4	186.4	192.0	197.8
EMEA	10.1	10.3	13.2	17.6	19.2	19.2	21.3	21.9	22.2	23.0	23.8	24.6	23.0	23.0	22.8	23.2	24.0
Healthcare and Others	231.7	239.5	251.3	299.7	294.6	328.4	341.5	404.0	466.4	534.9	608.7	693.4	406.8	397.8	392.0	448.2	506.4
Bio-pharma service and ingredients	98.5	91.4	104.8	129.5	131.9	147.6	148.0	166.4	188.8	214.1	243.9	275.4	176.2	176.2	166.7	189.9	216.1
Amino acids for pharmaceuticals and foods	44.5	42.5	49.0	57.5	52.5	58.5	63.0	69.0	73.0	77.0	81.0	85.0			67.0	71.0	75.0
Bio-pharma service	54.5	49.0	55.5	72.0	79.5	89.5	85.0	97.4	115.8	137.1	162.9	190.4			99.7	118.9	141.1
Existing business	54.5	49.0	55.5	72.0	78.5	78.0	67.5	72.9	81.3	90.6	102.4	114.9			75.2	84.4	94.6
Forge					1.0	11.5	17.5	24.5	34.5	46.5	60.5	75.5			24.5	34.5	46.5
Functional materials	36.3	45.1	60.5	70.1	60.8	76.5	100.7	137.8	174.8	214.9	255.1	303.2	120.6	111.6	128.7	158.7	187.7
ABF	28.5	36.5	49.5	59.5	49.0	63.5	87.5	123.5	160.5	200.6	240.8	288.9			115.0	145.0	174.0
Other	7.8	8.6	11.0	10.6	11.8	13.0	13.2	14.3	14.3	14.3	14.3	14.3			13.7	13.7	13.7
Others	96.7	102.8	85.8	99.9	101.7	104.1	92.6	99.8	102.8	105.8	109.8	114.8	109.9	109.9	96.6	99.6	102.6
Others	15.4	13.2	12.2	17.2	15.8	16.8	15.0	16.6	16.6	16.6	16.6	16.6	15.8	15.8	15.8	15.8	15.8
Business profits	99.2	113.1	120.9	135.3	147.7	159.3	181.2	220.0	265.0	315.0	368.9	431.3	202.0	197.0	212.0	252.6	294.7
%YoY	6%	14%	7%	12%	9%	8%	14%	21%	20%	19%	17%	17%	12%	9%	17%	19%	17%
%YoY @neutral FX	8%	20%	4%	1%	4%	4%	12%	18%	21%	19%	17%	17%	8%	8%	13%	19%	17%
(Equity method gains/losses)	-2.4	1.3	1.0	4.3	4.7	6.3	8.1	7.1	7.1	7.1	7.1	7.1	145.9	145.9	146.9	157.9	169.0
Seasonings and Foods	101.9	106.0	101.3	101.9	127.4	134.1	143.0	148.7	158.1	168.8	180.8	193.8			31.8	34.6	35.7
Japan	40.3	39.4	35.3	25.3	31.1	26.0	32.7	35.3	38.0	39.3	40.6	42.0			10.8	11.7	12.3
Seasonings, quick nourishment	24.0	23.2	18.0	10.6	10.3	9.3	11.2	11.4	12.8	13.3	13.9	14.5			7.6	9.4	9.9
Coffee products	5.0	8.1	8.3	5.0	4.5	3.3	7.6	10.2	11.4	11.9	12.4	12.9			13.3	13.5	13.5
Solution & Ingredients	11.3	8.1	9.0	9.7	16.3	13.4	13.9	13.6	13.9	14.1	14.4	14.6			115.1	123.4	133.3
Overseas	61.9	65.6	66.3	77.4	96.7	107.8	110.1	113.4	120.0	129.5	140.1	151.8			110.0	118.0	127.9
Seasonings, quick nourishment	50.0	53.6	57.0	63.4	83.8	95.4	104.4	109.1	115.8	125.3	135.9	147.6			8.7	9.0	9.0
Umami seasonings for processed-food manufacturers	11.0	12.5	10.0	14.7	15.5	15.2	9.3	8.0	8.0	8.0	8.0	8.0			-3.6	-3.6	-3.6
Other	0.9	-0.5	-0.7	-0.7	-2.6	-2.8	-3.6	-3.7	-3.7	-3.7	-3.7	-3.7			3.7	3.7	3.7
(Equity method gains/losses)	-2.4	1.8	1.5	2.4	1.5	2.4	3.7	3.7	3.7	3.7	3.7	3.7	12.1	12.1	10.5	11.4	12.6
Frozen foods	6.6	8.1	5.4	7.0	13.9	12.9	8.5	10.0	11.6	12.6	13.7	14.8	12.1	12.1	10.5	11.4	12.6
Japan	3.9	4.5	4.8	4.0	4.6	3.4	2.5	1.9	2.3	2.5	2.7	2.9			1.5	1.9	2.1
Overseas	2.6	3.5	0.5	3.4	8.9	9.9	6.6	8.1	9.3	10.1	11.0	11.9			9.0	9.5	10.5
Asia	1.6	1.5	1.0	2.0	1.8	1.4	1.2	1.4	1.6	1.7	1.9	2.0			1.0	1.2	1.3
The Americas	1.7	2.4	-0.5	1.5	7.3	8.6	5.7	7.0	7.9	8.5	9.0	9.6			8.1	8.4	9.1
EMEA	-0.7	-0.4	0.0	-0.1	-0.2	-0.1	-0.3	-0.3	-0.3	-0.1	0.1	0.2			-0.2	-0.1	0.1
(Equity method gains/losses)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0			0.0	0.0	0.0
Healthcare and Others	27.2	33.7	50.8	60.2	36.4	45.6	66.2	101.7	137.8	178.1	220.9	271.2	85.0	80.0	95.1	126.0	157.8
Bio-pharma service and ingredients	14.7	11.9	16.2	18.2	3.4	0.8	9.5	17.4	26.5	36.2	48.3	61.3	17.0	17.0	17.5	26.9	37.1
Existing business	14.7	11.9	16.2	18.2	8.2	9.9	15.4	18.8	22.9	27.4	33.3	39.6			18.9	23.3	28.3
Forge					-4.8	-9.1	-5.9	-1.4	3.6	8.8	15.0	21.7			-1.4	3.6	8.8
Functional materials	13.6	18.9	28.9	36.9	27.6	40.2	54.6	81.9	108.5	138.6	168.7	205.2	65.5	60.5	75.0	96.0	117.2
Others	-1.1	1.4	5.5	5.0	5.3	4.5	2.0	2.4	2.9	3.3	3.9	4.7	2.4	2.4	2.7	3.2	3.6
(Equity method gains/losses)	0.2	0.1	0.0	-0.1	-0.1	-0.3	-0.3	-0.3	-0.3	-0.3	-0.3	-0.3	-0.3	-0.3	-0.3	-0.3	-0.3
Other	0.2	-0.7	-1.8	0.7	2.9	6.3	6.1	5.1	5.1	5.1	5.1	5.1	5.1	5.1	5.1	5.1	5.1
Other	0.5	-0.2	-1.4	-1.4	-0.4	2.1	1.3	1.4	1.4	1.4	1.4	1.4	0.0	0.0	1.3	1.3	1.3
(Equity method gains/losses)	-0.3	-0.5	-0.4	2.0	3.3	4.2	4.7	3.7	3.7	3.7	3.7	3.7			3.7	3.7	3.7
Shared companywide expenses (total)	-36.7	-33.9	-34.7	-36.6	-33.0	-39.8	-42.6	-45.6	-47.6	-49.6	-51.6	-53.6	-46.2	-46.2	-45.6	-47.8	-49.8
Business profit margin	9.0%	10.6%	10.5%	10.0%	10.3%	10.4%	11.4%	12.6%	14.3%	16.0%	17.7%	19.4%	11.7%	11.4%	12.2%	13.6%	15.0%
Seasonings and Foods	15.9%	17.1%	15.2%	13.1%	15.0%	15.0%	15.3%	14.7%	15.0%	15.5%	16.1%	16.7%	14.6%	14.6%	14.3%	14.7%	15.2%
Japan	14.3%	14.5%	13.0%	9.2%	10.8%	8.9%	10.5%	10.6%	11.0%	11.1%	11.3%	11.5%			9.4%	9	

Figure 4: Quarterly earnings

JPYbn, %	23/3				24/3				25/3				26/3				27/3E			
	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2QE	3QE	4QE
Sales	321.6	338.2	366.9	332.4	339.5	348.5	379.6	371.6	365.5	378.7	406.8	379.5	364.0	374.9	425.3	419.6	412.1	419.6	465.2	443.4
%YoY	16%	23%	21%	13%	6%	3%	3%	12%	8%	9%	7%	2%	0%	-1%	5%	1%	13%	12%	9%	6%
%YoY @neutral FX	8%	11%	10%	6%	2%	-1%	0%	5%	2%	8%	6%	1%	3%	-2%	2%	6%	6%	8%	8%	6%
Seasonings and Foods	184.3	188.5	213.9	188.3	200.1	204.6	232.0	210.3	214.4	219.1	244.3	218.2	213.4	222.6	259.1	241.9	238.7	243.7	277.0	253.1
Japan	62.4	64.2	80.5	66.9	66.3	65.5	84.0	71.3	66.4	67.7	87.4	70.3	69.7	69.9	94.5	77.4	72.9	75.0	101.5	82.1
Seasonings, quick nourishment	40.2	41.9	56.2	46.4	43.2	41.6	58.7	50.0	44.3	44.8	62.4	50.8	48.3	47.7	70.8	57.7	51.0	52.2	76.8	61.9
Seasonings/processed foods	22.5	25.1	31.4	26.5	23.6	24.8	32.6	28.5	25.3	27.6	35.3	29.3	25.6	27.7	38.4	31.3	26.1	28.8	39.6	32.9
Coffee products	17.7	16.8	24.8	19.9	19.6	16.8	26.1	21.5	19.0	17.2	27.1	21.5	22.7	20.0	32.4	26.4	24.9	23.4	37.3	29.0
Solution & Ingredients	22.3	22.2	24.3	20.5	23.1	23.9	25.3	21.4	22.0	23.2	24.9	19.5	21.4	22.2	23.7	19.7	21.8	22.8	24.7	20.2
Overseas	121.8	124.2	133.4	121.4	133.6	139.2	147.9	138.9	147.8	151.3	156.9	148.0	143.5	152.6	164.6	164.5	165.8	168.7	175.4	171.0
Seasonings, quick nourishment	97.8	99.8	109.3	97.6	110.4	115.2	121.5	113.2	121.1	124.1	128.8	121.5	120.2	128.1	140.5	135.3	137.2	141.4	149.0	139.9
Umami seasonings for processed-food manufacturer	19.1	18.9	19.8	18.3	18.7	18.7	20.6	19.6	19.7	20.7	21.0	19.0	17.3	17.6	17.3	19.9	18.6	20.4	19.6	21.8
Other	4.9	5.5	4.3	5.5	4.5	5.3	5.8	6.1	7.0	6.5	7.1	7.5	6.0	6.9	6.8	9.3	10.0	6.9	6.8	9.3
Frozen foods	60.8	67.7	71.5	67.2	63.8	72.7	73.6	71.7	70.2	72.9	75.7	70.6	68.8	69.8	78.2	73.6	72.6	76.7	81.4	76.5
Japan	22.4	22.8	23.4	21.1	21.7	21.7	23.2	20.4	21.7	22.0	22.9	20.1	21.3	21.8	23.8	20.5	21.7	22.7	23.8	20.9
Overseas	38.4	44.9	48.1	46.1	42.1	51.0	50.4	51.3	48.5	50.9	52.8	50.5	47.5	48.0	54.4	53.1	50.9	54.0	57.6	55.6
Asia	1.1	1.4	0.9	1.3	1.1	1.3	1.1	1.1	1.3	1.6	1.5	1.7	1.7	2.4	2.4	2.7	2.5	3.0	2.9	3.1
The Americas	33.9	40.0	40.7	40.5	36.6	45.8	43.3	45.2	42.4	45.4	45.2	44.2	41.2	41.0	45.2	44.8	43.5	46.4	47.7	46.9
EMEA	3.3	3.5	6.5	4.3	4.2	3.9	6.1	5.0	4.6	3.9	6.1	4.6	4.3	4.6	6.8	5.6	4.7	4.6	7.0	5.6
Healthcare and Others	73.6	78.0	76.1	72.0	72.2	67.3	70.1	85.0	78.1	81.8	82.8	85.6	79.0	79.1	84.5	98.9	97.0	95.4	102.9	108.7
Bio-pharma service and ingredients	31.7	32.5	30.4	34.9	33.8	28.4	29.0	40.7	33.2	36.3	36.8	41.3	34.2	32.5	33.3	48.0	37.9	37.3	41.8	49.3
Amino acids for pharmaceuticals and foods	15.0	15.0	13.0	14.5	13.5	13.0	11.5	14.5	13.5	14.0	14.5	16.5	15.5	15.0	16.5	16.0	19.0	16.0	17.0	17.0
Bio-pharma service	17.0	17.0	18.0	20.0	20.5	15.0	18.0	26.0	20.0	22.0	22.0	25.5	18.5	17.5	17.5	31.5	19.0	21.3	24.8	32.3
Functional materials	17.3	19.9	19.5	13.4	13.5	15.0	16.3	16.0	17.3	19.8	20.5	18.9	21.5	23.4	28.9	26.9	33.1	33.4	36.9	34.4
ABF	15.0	17.0	16.5	11.0	11.0	12.0	12.5	13.5	14.5	15.5	17.5	16.0	18.5	19.5	25.5	23.5	29.5	29.5	33.5	31.0
Other	2.3	2.9	3.0	2.4	2.5	3.0	3.8	2.5	2.8	4.3	3.0	2.9	3.0	3.9	3.4	3.4	3.6	3.9	3.4	3.4
Others	24.5	25.6	26.2	23.6	24.7	24.0	24.8	28.2	27.5	25.7	25.7	25.2	23.2	23.2	22.2	24.0	25.9	24.7	24.2	25.0
Other	2.8	4.1	5.4	4.9	3.4	3.8	4.0	4.6	2.8	4.8	4.0	5.1	2.9	3.5	3.5	5.2	3.7	3.9	3.9	5.2
Business profits	40.5	33.8	44.9	16.1	42.9	33.7	47.9	23.2	43.1	43.8	51.3	21.1	47.2	39.5	59.2	35.2	60.1	51.7	69.0	39.5
%YoY	4%	11%	15%	29%	6%	0%	7%	44%	1%	30%	7%	-9%	10%	-10%	15%	67%	27%	31%	16%	12%
%YoY @neutral FX	-4%	-2%	5%	10%	2%	-5%	2%	32%	-5%	28%	4%	-13%	12%	-11%	13%	55%	19%	25%	15%	15%
(Equity method gains/losses)	2.2	0.6	1.2	0.3	0.7	0.5	1.4	2.0	2.3	1.7	1.9	0.4	3.1	1.4	2.1	1.5	2.7	1.4	2.1	0.7
Seasonings and Foods	27.2	24.1	34.1	16.5	33.9	30.9	39.9	22.6	35.1	35.2	40.8	23.0	36.3	33.2	43.9	29.5	41.0	35.2	44.7	28.1
Japan	7.1	5.9	11.7	0.6	7.7	6.4	13.5	3.5	6.6	5.6	13.1	0.7	6.1	5.3	17.0	4.3	8.4	4.9	17.4	4.6
Seasonings, quick nourishment	2.3	3.3	4.7	0.3	1.5	2.6	5.3	0.9	2.4	2.3	5.2	-0.5	2.2	1.8	6.3	1.1	2.2	1.3	6.5	1.5
Coffee products	1.7	0.8	3.1	-0.6	1.6	-0.3	2.6	0.6	0.7	-0.2	3.1	-0.3	1.1	0.5	5.0	1.0	2.5	1.1	5.4	1.2
Solution & Ingredients	3.1	1.8	3.9	0.9	4.6	4.1	5.6	2.0	3.5	3.5	4.8	1.5	2.8	3.0	5.7	2.2	3.7	2.5	5.5	1.9
Overseas	19.9	19.4	22.3	15.8	25.7	25.8	26.1	19.1	28.2	29.7	27.8	22.1	30.0	27.9	27.1	25.1	32.3	30.3	27.3	23.5
Seasonings, quick nourishment	16.5	14.1	18.8	14.0	21.9	21.4	22.6	17.9	24.5	25.7	24.6	20.5	26.7	25.5	27.2	24.8	30.1	27.7	27.8	23.4
Umami seasonings for processed-food manufacturer	4.0	4.6	3.9	2.2	4.6	4.5	4.4	2.0	4.0	4.4	4.3	2.5	3.6	3.0	1.5	1.2	2.6	3.3	1.2	0.9
Other	-0.6	0.7	-0.4	-0.4	-0.8	-0.1	-0.9	-0.8	-0.3	-0.4	-1.1	-0.9	-0.3	-0.6	-1.6	-0.9	-0.4	-0.7	-1.7	-0.9
(Equity method gains/losses)	0.7	0.4	0.4	0.8	-0.4	-0.5	0.3	2.1	0.3	0.8	0.6	0.6	1.2	0.8	0.8	0.9	1.1	0.8	0.8	0.9
Frozen foods	1.8	0.7	2.5	2.0	4.7	4.1	4.4	0.8	3.9	2.9	4.2	1.7	2.8	1.3	4.4	0.0	2.2	2.1	4.4	1.1
Japan	1.5	0.4	1.6	0.5	1.9	0.9	1.5	0.3	1.2	0.5	1.8	-0.1	0.9	0.2	2.0	-0.6	0.6	0.0	1.7	-0.3
Overseas	0.5	0.5	0.4	2.0	2.4	3.4	2.7	0.4	2.6	2.4	2.8	2.1	2.1	1.0	2.6	0.9	1.8	2.1	2.7	1.5
Asia	0.7	0.7	0.2	0.4	0.4	0.5	0.4	0.5	0.5	0.2	0.4	0.3	0.3	0.0	0.7	0.2	0.5	0.1	0.7	0.2
The Americas	-0.1	-0.2	0.1	1.7	2.0	2.9	2.3	0.1	2.0	2.5	2.3	1.8	1.9	0.9	2.0	0.9	1.4	2.0	2.2	1.4
EMEA	-0.1	0.0	0.1	-0.1	0.0	0.0	0.0	-0.2	0.1	-0.3	0.1	0.0	-0.1	0.1	-0.1	-0.2	-0.1	0.0	-0.1	-0.2
(Equity method gains/losses)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Healthcare and Others	16.6	17.5	16.0	10.0	9.7	7.1	10.7	9.0	11.5	14.3	12.9	6.9	15.4	14.7	18.8	17.3	25.2	24.9	28.7	23.1
Bio-pharma service and ingredients	5.5	4.8	3.6	4.3	2.6	-0.6	1.9	-0.5	-0.6	2.5	0.5	-1.6	2.8	1.1	1.9	3.7	4.2	3.9	5.3	4.0
Functional materials	8.7	11.3	10.7	6.2	5.2	7.0	7.8	7.6	9.3	10.3	11.3	9.3	10.8	12.8	16.5	14.5	19.1	20.0	22.7	20.1
Others	2.3	1.4	1.7	-0.4	1.9	0.6	0.9	1.9	2.7	1.4	1.2	-0.8	1.6	0.8	0.4	-0.8	1.7	1.0	0.7	-1.0
(Equity method gains/losses)	0.0	0.0	0.0	-0.1	0.0	0.0	0.0	0.0	0.0	-0.1	0.0	-0.2	0.0	-0.1	0.0	-0.2	0.0	-0.1	0.0	-0.2
Other	1.2	0.1	0.6	-1.2	1.0	0.9	0.5	0.4	1.9	1.3	2.1	0.9	1.9	0.8	1.6	1.7	1.7	0.8	1.6	1.0
Other	-0.2	-0.2	-0.1	-0.8	-0.1	-0.1	-0.7	0.5	-0.1	0.3	0.8	1.0	-0.1	0.2	0.3	1.0	0.0	0.2	0.3	1.0
(Equity method gains/losses)	1.4	0.2	0.8	-0.4	1.2	1.1	1.2	-0.1	2.0	0.9	1.3	-0.1	2.0	0.7	1.3	0.7	1.7	0.7	1.3	0.0
Shared companywide expenses (total)	-6.3	-8.6																		

Investment Thesis, Valuation and Risks

Ajinomoto (2802) *(Overweight; Price Target: ¥6,800)*

Investment Thesis

Our investment thesis for Ajinomoto is based on its growth potential and capital efficiency, which are among the best among large-cap food stocks. We expect the two core business segments (seasonings & foods and healthcare & others) to drive 19% annualized business profit growth from FY2026 to FY2030, and substantial shareholder payouts should boost ROE to 40% in FY2030.

Valuation

We set our December 2027 price target of ¥6,800 by applying a P/E of 37x to our FY2027 EPS estimate. Ajinomoto's P/E has been in the 25-40x range over the past year, and we think basing our price target on a P/E near the high end of this range is fair, given the rising likelihood of growth at the healthcare & others segment, which includes ABF and CDMO.

Risks to Rating and Price Target

Upside risks to our price target are (1) an increase in EPS and BPS due to yen depreciation, (2) greater-than-expected sales growth in overseas seasonings & foods, (3) greater-than-expected sales growth in healthcare & others, and (4) greater-than-expected declines in input prices. Downside risks are (1) a decline in EPS and BPS due to yen appreciation, (2) sluggish sales of overseas seasonings & foods due to intensifying competition, (3) inventory adjustments in healthcare & others, and (4) higher-than-expected input prices.

Ajinomoto (2802): Summary of Financials

Income Statement						Cash Flow Statement					
	2025/3A	2026/3A	2027/3E	2028/3E	2029/3E		2025/3A	2026/3A	2027/3E	2028/3E	2029/3E
Revenue	1,531	1,584	1,740	1,853	1,966	Cash flow from operating activities	210	239	239	285	308
COGS	(980)	(987)	(1,077)	(1,124)	(1,167)	o/w Depreciation & amortization	86	89	94	97	99
Gross profit	551	597	663	728	798	o/w Changes in working capital	20	12	14	24	9
SG&A	(398)	(424)	(450)	(470)	(490)	Cash flow from investing activities	(77)	(84)	(130)	(120)	(120)
EBIT	114	199	205	250	300	o/w Capital expenditure	(88)	(103)	(130)	(120)	(120)
Net Interest	(6)	(3)	(5)	(7)	(8)	as % of sales	5.8%	6.5%	7.4%	6.5%	6.1%
PBT	108	196	200	244	293	Cash flow from financing activities	(138)	(226)	(126)	(165)	(188)
Tax	(28)	(51)	(51)	(62)	(75)	o/w Dividends paid	(39)	(43)	(46)	(59)	(72)
Minority Interest	11	10	11	11	12	o/w Shares issued/(repurchased)	(91)	(130)	(130)	(130)	(130)
Net Income	70	135	138	170	206	o/w Net debt issued/(repaid)	13	(34)	50	24	14
Reported EPS	69.77	138.36	146.20	184.89	229.66	Net change in cash	(5)	(70)	(17)	0	0
DPS	40.00	48.00	59.00	73.00	90.00	Adj. Free cash flow to firm	133	168	109	165	188
Payout ratio	57.3%	34.7%	40.4%	39.5%	39.2%	y/y Growth	271.8%	26.4%	-34.7%	51.0%	13.8%
Shares outstanding	994	958	933	910	888	Ratio Analysis	2025/3A	2026/3A	2027/3E	2028/3E	2029/3E
Balance Sheet						Gross margin	36.0%	37.7%	38.1%	39.3%	40.6%
Cash and cash equivalents	165	107	90	90	90	EBIT margin	7.4%	12.6%	11.8%	13.5%	15.3%
Accounts receivable	174	194	196	190	192	Net profit margin	4.6%	8.5%	7.9%	9.2%	10.5%
Inventories	287	319	333	336	346	ROE	9.0%	17.7%	18.5%	24.0%	29.7%
Other current assets	537	597	613	610	623	ROA	4.0%	7.6%	7.6%	9.1%	10.9%
Current assets	701	704	703	700	713	ROCE	6.9%	12.3%	12.8%	15.6%	18.7%
PP&E	581	647	683	706	727	SG&A/Sales	26.0%	26.8%	25.9%	25.4%	24.9%
LT investments	-	-	-	-	-	Net debt/Equity	0.4	0.4	0.5	0.5	0.5
Other non current assets	228	245	248	252	255	Sales/Assets (x)	0.9	0.9	1.0	1.0	1.0
Total assets	1,721	1,812	1,850	1,874	1,911	Assets/Equity (x)	2.2	2.3	2.5	2.6	2.7
Short term borrowings	39	40	40	40	40	Interest cover (x)	35.5	87.4	56.5	53.3	53.2
Payables	241	304	334	356	377	Operating leverage	-351.4%	2158.9%	28.4%	339.8%	327.6%
Other short term liabilities	105	105	105	105	105	Tax rate	25.4%	26.0%	25.5%	25.5%	25.5%
Current liabilities	385	449	479	500	522	Revenue y/y Growth	6.3%	3.5%	9.9%	6.5%	6.1%
Long-term debt	416	381	432	455	469	EPS y/y growth	-16.7%	98.3%	5.7%	26.5%	24.2%
Other long term liabilities	523	519	570	593	607	Valuation	2025/3A	2026/3A	2027/3E	2028/3E	2029/3E
Total liabilities	908	968	1,048	1,094	1,129	P/E (x)	82.0	41.3	39.1	30.9	24.9
Shareholders' equity	747	771	723	696	692	P/BV (x)	7.6	7.1	7.4	7.5	7.3
Minority interests	66	73	79	84	90	Dividend Yield	0.7%	0.8%	1.0%	1.3%	1.6%
Total liabilities & equity	1,721	1,812	1,850	1,874	1,911						
BVPS	751.01	804.24	774.88	765.42	779.56						
y/y Growth	-5.5%	7.1%	-3.7%	-1.2%	1.8%						
Net debt/(cash)	291	315	382	405	419						

Source: Company reports and J.P. Morgan estimates.

Note: ¥ in billions (except per-share data). Fiscal year ends Mar. o/w - out of which

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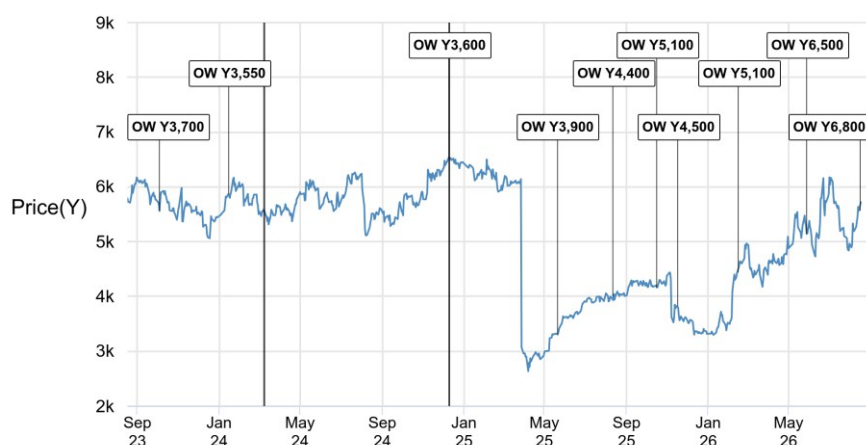
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Ajinomoto (2802) (2802.T, 2802 JP) Price Chart



Date	Rating	Price (Y)	Price Target (Y)
05-Oct-23	OW	5562	3,700
16-Jan-24	OW	5871	3,550
10-Dec-24	OW	6533	3,600
21-May-25	OW	3313	3,900
12-Aug-25	OW	3996	4,400
17-Oct-25	OW	4166	5,100
17-Nov-25	OW	3825	4,500
16-Feb-26	OW	4436	5,100
29-May-26	OW	5142	6,500
17-Aug-26	OW	5566	6,800

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Oct 26, 2005. All share prices are as of market close on the previous business day.
Break in coverage Mar 08, 2024 - Dec 10, 2024.

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